IN THE INDUSTRIAL COURT OF MALAYSIA

CASE NO.: 5/4-1045/19

BETWEEN

ANIS NADHIRAH BINTI MUHD NAZAK @ MOHD NASIR

AND

MALAYSIA AIRLINES BERHAD

AWARD NO.: 1817 OF 2025

BEFORE	**:**	**Y.A. PUAN NORAMILIA BINTI MOHD SAAD CHAIRMAN**
VENUE	**:**	Industrial Court of Malaysia, Kuala Lumpur
DATE OF REFERENCE	**:**	26.06.2019.
DATES OF MENTION	**:**	07.08.2019; 25.10.2019; 12.02.2020; 26.02.2021 04.03.2021; 12.08.2021; 22.11.2022; 13.12.202; & 14.11.2024.
DATES OF HEARING	**:**	10.03.2020; 02.07.2020; 19.08.2020; 16.11.2021; 31.03.2022; 15.06.2022; 16.06.2022; 03.03.2023; 14.07.2023; 20.02.2024; 29.04.2024 & 28.05.2024.
REPRESENTATION	**:**	Rathi Jebaratnam Messrs Dinesh Ratnarajah Partnership (Counsel for the Claimant) Teoh Alvare & Loh Qiao Wen Messrs Zul Rafique & Partners (Counsel for the Company)

REFERENCE:

This matter arises from a reference made by the Honourable Minister of Human Resources pursuant to Section 20(3) of the Industrial Relations Act 1967 [*Act 177*] arising out of the dismissal of **Anis Nadhirah Binti Muhd Nazak @ Mohd Nasir** (hereinafter referred to as "the Claimant") by **Malaysia Airlines Berhad** (hereinafter referred to as "the Company") on 9 January 2019.

AWARD

PROCEDURAL HISTORY

[1] This matter was previously heard and concluded by the former Chairman of Court 5, Yang Arif Tuan Ahmad Zakhi Bin Mohd Daud who has since retired from the Industrial Court. Upon the retirement of the former Chairman, this case was assigned to me for continuation and conclusion.

[2] In the circumstances, this Award has been prepared and delivered upon my consideration of the proceedings duly recorded through the Court's recording system and the notes of proceedings written by the former Chairman, the testimony of the Claimant insofar as it had been adduced, together with the cause papers and bundles of documents filed and tendered before the Court, all of which form part of the record of this case. In detail, the cause paper considered by the Court are as follows:

(a) Amended Statement of Case

(b) Amended Statement in Reply

(c) Amended Rejoinder

(d) Claimant's Bundle of Documents – **CLB-1**

(e) Claimant's Supplementary Bundle of Documents – **CLB-2**

(f) Claimant's Supplementary Bundle of Documents (2) – **CLB-3**

(g) Claimant's Supplementary Bundle of Documents (3) – **CLB-4**

(h) Claimant's Supplementary Bundle of Documents (4) – **CLB-5**

(i) Company's Bundle of Documents – **COB-1**

(j) Company's Bundle of Documents (Volume 2) – **COB-2**

(k) Malaysia Airlines Berhad – Corporate Safety Management Manual (CSMM) – **COB-3(A)**

(l) Published CSMM Issue 4 Rev 2 vs ARF – **COB-3(B)**

(m) Company's Bundle of Documents (Volume 3) – **COB-4**

(n) Claimant's Witness Statement (Anis Nadhirah Binti Muhd Nazak @ Mohd Nasir) – **CLW-1S**

(o) Company's Witness Statement (Mohd Zamry Bin Yunus) – **COWS1**

(p) Company's Witness Statement (Syed Zafarullah Abdul Jaafar) – **COWS2**

(q) Company's Witness Statement (Muhammad Fauzi Mahayuddin) – **COWS3**

(r) Claimant's Written Submission & Bundle of Authorities

(s) Claimant's Submission in Reply & Bundle of Authorities

(t) Company's Written Submission & Bundle of Authorities

(u) Company's Submission in Reply & Bundle of Authorities (Vol. 2)

[3] Pursuant to the reference made by the Honourable Minister of Human Resources to Section 20(3) of the Industrial Relations Act 1967 [*Act 177*], this Court is required to hear and determine the Claimant's case of dismissal by the Company on 9 January 2019.

INTRODUCTION

[4] The Claimant alleges that her termination by the Company on 9 January 2019 was without just cause or excuse. She contends that after being reassigned to the

Corporate Department Control under Mohd Zamry Bin Yunus ("COW-1"), she became the target of unfair treatment and the imposition of a Performance Improvement Plan (PIP) was premised on allegations that were, in her view, baseless and unsupported by evidence. The Claimant maintains that she consistently performed her responsibilities and was pressured to defend her continued employment despite having discharged her responsibilities to the best of her ability.

[5] The Company, however, maintains that the dismissal was effected with just cause and excuse, asserting that the Claimant repeatedly demonstrated poor performance, lack of discipline, and failure to meet deadlines, and that she was the subject of multiple complaints. The Company states that the PIP was instituted to assist her improvement, but she failed to meet the KPIs throughout the three-month period and did not submit her Month 3 progress report, leading the Company to conclude that she was unsuitable for continued employment

Claimant's Case

[6] The Claimant commenced employment with Malaysia Airline System Berhad (the former name of the Company) as a Trainee Call Centre Agent on 15 March 2013 under a fixed-term contract dated 12 March 2013 for a period of 12 months with a monthly salary of RM1,900.00. Upon satisfactory performance, she was subsequently offered a permanent position as Senior Call Centre Agent (Senior Officer) on 16 March 2014, maintaining the same monthly salary. Her probation period was three months, and she was confirmed in employment effective 16 June 2014.

[7] Throughout her tenure as a Senior Officer, the Claimant consistently demonstrated commendable performance. The Company has received numerous customer compliments acknowledging her dedication and quality of service.

[8] Following the restructuring of the Company, the Claimant applied for the position of Executive, Corporate Document Control. She was subsequently offered the position of Executive, CEO–Corporate Document Control in the CEO–Corporate Safety Oversight Department, Grade D1, commencing on 1 February 2018 with a

monthly salary of RM2,500.00, pursuant to a contract of employment dated 27 December 2017. Notably, this appointment carried no probationary period, reflecting the Company's confidence in the Claimant's capability, experience, and suitability for the role.

[9] At the material time, the Claimant reported directly to Dato' Captain Missman Leham, the Head of Corporate Safety Oversight. The Claimant asserts that upon joining the department, she was never issued any verbal or written warning concerning her performance. Her job role purpose and key accountabilities were set out in an e-mail dated 12 December 2017, and she carried out those responsibilities to the best of her ability.

[10] In or around April 2018, COW-1 joined the Company as Senior Manager, Corporate Document Control, becoming the Claimant's immediate superior. Shortly thereafter, the Claimant and her colleague, En. Mohd Emirul, were assigned by CO-1 to update the Company's Safety Manual by 14 September 2018. This task required consolidating extensive inputs from multiple divisions and sub-divisions, resulting in frequent changes and amendments to the draft manual.

[11] On 14 September 2018, before the Claimant could complete the draft Safety Manual, COW-1 summoned her to a private meeting, expressing anger that she had taken medical leave on 13 September 2018, a day prior to the deadline. Despite the Claimant's explanation that she was genuinely unwell and unable to drive from Selayang to KLIA, COW-1 rejected her explanation and instructed her to immediately cease work on the manual. The task was reassigned to another officer, Pn. Nordahasanah, and the Claimant was subjected to scrutiny based on alleged errors in her draft although she emphasized that it was only a draft pending review.

[12] The Claimant contends that this incident marked the beginning of a hostile and targeted treatment by COW-1, culminating in her placement under PIP. A few days later, during a meeting with Dato' Captain Missman, COW-1 and Pn. Hashimah, she and En. Mohd Emirul, were informed they would be placed under PIP.

[13] On 2 October 2018, during a meeting with COW-1 and Pn. Adlina from Human Capital, the Claimant, was again informed she was placed under PIP from 1 October 2018 to 31 December 2018, although the PIP document was not issued on that date. The Claimant then visited the Company's panel clinic and was referred to a psychiatrist where she claims that she had symptoms of a nervous breakdown.

[14] The Claimant states that the PIP was subsequently uploaded through the Company's online system and contained unsubstantiated criticisms wholly unsupported by evidence. The Claimant further highlights that the PIP contained several headings which, in her view, were entirely unfounded and not supported by any factual basis, namely:

(a) Areas of Concern / Improvement Required;

(b) Improvement KPI Establishment;

(c) Resources & Support Required;

(d) Progress Check Points; and

(e) Notice.

[15] On 18 December 2018, COW-1 requested the Claimant to attend a third PIP review meeting, which was later cancelled. He then informed her that he would be on leave from 19 December 2018 to 31 December 2018 and instructed her to submit justifications as to why she should remain employed. The Claimant asserts that this directive was wholly improper, unreasonable, and constituted a serious breach of the implied term of mutual trust and confidence, as no employee should be placed in a position of having to justify why she deserves to retain her job.

[16] Between 18–20 December 2018, despite being under pressure and experiencing fear of being unfairly targeted, the Claimant complied with instructions to prepare the Corporate Safety Oversight Departmental Manual (CDM), a task which she completed.

[17] The Claimant contends that, out of fear and feeling victimised, she reluctantly informed Dato' Captain Missman on 20 December 2018 that she would submit a written justification explaining why she should be allowed to remain in the Company's employment.

[18] On 24 December 2018, while suffering from fever and worsening symptoms, the Claimant informed the department's WhatsApp group (of which COW-1 was a member) that she was heading to Klinik Kesihatan Salak. She later took time off and sought treatment. On 26 December 2018, she was admitted to ParkCity Medical Centre and diagnosed with Influenza Type B, and this was duly communicated to the same WhatsApp group. She was admitted until 4 January 2019.

[19] Despite being aware of her hospitalisation, on 28 December 2018, COW-1 sent an email questioning why she did not update him on her PIP progress. The Claimant replied on 3 January 2019, explaining her medical condition and hospital admission. However, on 4 January 2019, COW-1 accused her of failing to notify him via e-mail about her medical leave and hospitalisation, despite clear evidence that he had read the WhatsApp notifications.

[20] COW-1 then responded to her e-mail dated 3 January 2019 at 10.14 p.m. vide an e-mail dated 4 January 2019 at 11.27 pm. alleging that she had failed to inform him vide e-mail that she had to go to the clinic on 24 December 2018 and that she was hospitalised on 26 December 2018.

[21] In an e-mail dated 3 January 2019, the Claimant furnished detailed justifications as to why she should be retained in her position. She outlined the scope of work she had completed, including:

- updating the MARCAT manuals and the CSO TV Daily Display;
- assisting the Emergency Management team with the CEOM;
- completing amendments to the CSMM, CDM, and DCPM; and
- consistently fulfilling all responsibilities assigned to her to the best of her ability.

[22] On 4 January 2019, COW-1 replied to the Claimant's email and rejected all her justifications and alleged they were unsupported by evidence. Shortly thereafter, the Claimant received a termination letter dated 9. January 2019.

[23] The Claimant asserts that the PIP results were baseles and deliberately manipulated to justify her dismissal. The allegations of poor behaviour, lateness, incompetence and lack of initiative were never raised prior to the PIP and were inconsistent with her previous clean record, positive customer feedback, and career progression.

[24] The Claimant maintains that she was unfairly targeted, subjected to unreasonable demands, denied procedural fairness, and dismissed without just cause or excuse. The placement under PIP, the conduct of the evaluation process, and the eventual termination were, in her view, tainted by mala fides and amounted to a breach of the Company's obligations under the employment contract.

Company's Case

[25] The Company contends that the Claimant's termination on 9 January 2019 was carried out with just cause and excuse, following a clear pattern of persistent poor performance, misconduct, and lack of discipline, despite repeated guidance, reminders, and opportunities for improvement.

[26] The Claimant commenced employment with the Company on 1 September 2015 as Executive, Global Customer Call Centre and City Ticket Office on a fixed-term contract. The contract was extended on 5 August 2016 for another year until 31 August 2017.

[27] Subsequently, by letter dated 13 February 2017, she was offered permanent employment as Executive (Grade D1) in the Commercial Customer Care Department, effective 15 February 2017.

[28] On 27 December 2017, the Claimant was reassigned to the position of Executive, CEO Corporate Document Control under the Corporate Safety Oversight (CSO) Department, reporting to COW-1. Her new role took effect on 1 February 2018.

[29] From early 2018 onwards, COW-1 consistently observed serious performance weaknesses and lapses in discipline on the Claimant's part. These issues were formally communicated in writing and through meetings, including:

(a) regular leave, emergency leave and medical leave, often without proper or timely notification to her immediate superior;

(b) constant requests for time off, disrupting workflow;

(c) failure to complete tasks on time, including posters and manual updates;

(d) sub-standard minutes of meeting, with late dissemination.

[30] On 4 May 2018, COW-1 issued an email requiring the Claimant's attendance at a Performance Issue Discussion on 7 May 2018, warning that immediate corrective action was needed, failing which a Performance Improvement Plan (PIP) would be initiated.

[31] Further discussions on 14 September 2018 highlighted ongoing concerns, including the Claimant's continuing lack of discipline and poor performance.

[32] On 16 September 2018, COW-1 conveyed a complaint from the Corporate Occupational Safety and Health (COSH) Unit that the Claimant had taken home the CSO store keys while on leave, resulting in operational disruption.

[33] On 21 September 2018, COW-1 received a complaint from Puan Hashimah Hashim, Manager of Safety Promotion, Training and Communication, that the Claimant had responded to her question in a rude and inappropriate tone.

[34] On 2 October 2018, a formal meeting was held with the Claimant, attended by COW-1 and the Human Capital Business Partner, Pn. Adlina. The Claimant was

informed that she would undergo a three-month PIP aimed at addressing deficiencies in three key areas:

(a) work performance;

(b) behaviour and discipline; and

(c) computer application skills.

[36] The Claimant acknowledged the guidelines and expectations of the PIP in an email dated 3 October 2018. The PIP was structured into three monthly phases, running from 1 October 2018 to 31 December 2018, with scheduled Progress Check Point meetings intended to assist and assess her improvement.

[37] However, the Company asserts that throughout the PIP period, the Claimant failed to demonstrate the required level of progress.

[38] A review on 30 November 2018 indicated that the same issues remained unresolved. The Claimant was still slow in rectifying manual update errors, and further complaints were received from operational units.

[39] A meeting scheduled for 18 December 2018 to review Claimant's performance did not proceed because there is a miscommunication of the venue. During a subsequent telephone conversation, she agreed to provide an update on her performance, but failed to do so, even after a reminder email on 28 December 2018.

[40] For the final month, the PIP was concluded based on COW-1 own observations and the feedback received from colleagues and other managers who had interacted with her during the period. According to the Company, the Claimant continued to exhibit the same flaws identified earlier, and no substantive or measurable improvement was evident at any point during the PIP.

[41] Having considered the Claimant's overall performance during 1 October – 31 December 2018, along with documented complaints and supervisory assessments, the Company concluded that the Claimant was unsuitable for continued employment.

[42] By letter dated 9 January 2019, the Claimant was notified that despite being given ample time, guidance, support, and opportunities to improve, she had failed to demonstrate the necessary commitment or competence to meet the standards required of her position. The Claimant's services were therefore terminated with immediate effect.

[44] The Company maintains before the Court that the termination was executed with just cause and excuse, following a fair and structured performance management process, and necessitated by the Claimant's persistent failure to meet the standards reasonably expected of her.

THE FUNCTION OF THE INDUSTRIAL COURT AND THE BURDEN OF PROOF

[45] It is a well-established principle that the function of the Industrial Court, when dealing with a reference under Section 20(3) of Act 177 is confined to two issues:

(i) whether, on the facts, there has been a dismissal; and
(ii) if so, whether such dismissal was with or without just cause or excuse.

[46] The Federal Court in **Wong Yuen Hock v. Syarikat Hong Leong Assurance Sdn Bhd & Anor Appeal [1995] CLJ 344** made it clear that the Industrial Court's "main and only function" is to decide whether the grounds advanced by the employer were in fact committed by the workman and, if so, whether they constitute just cause or excuse.

[47] Similarly, in **Goon Kwee Phoy v. J & P Coats (M) Bhd [1981] 2 MLJ 129**, Raja Azlan Shah CJ held that when a dismissal is challenged, the Industrial Court's duty is confined to examining whether the reason advanced by the employer has been proved. If the reason is not made out, the dismissal must inevitably be held to be

without just cause or excuse. The Court is not entitled to substitute for or invent another ground for the employer.

[48] As regards the burden of proof, the law is equally well settled. In dismissal cases, the onus rests on the employer to justify the dismissal. This principle was emphasized by the Industrial Court in **Stamford Executive Centre v. Dharsini Ganeson [1986] ILR 101,** where it was held:

> "*In a dismissal case the employer must produce convincing evidence that the workman committed the offence or offences the workman is alleged to have committed for which he has been dismissed. The burden of proof lies on the employer. He must prove the workman guilty and it is not the workman who must prove himself not guilty. This is so basic a principle of industrial jurisprudence that no employer is expected to come to this Court in ignorance of it." "In a dismissal case the employer must produce convincing evidence that the workman committed the offence or offences the workman is alleged to have committed for which he has been dismissed. The burden of proof lies on the employer. He must prove the workman guilty and it is not the workman who must prove himself not guilty. This is so basic a principle of industrial jurisprudence that no employer is expected to come to this Court in ignorance of it*".

[49] This principle was subsequently reaffirmed in **Ireka Construction Berhad v. Chantiravathan Subramaniam James [1995] 2 ILR 11** where the Court held that it is incumbent upon the employer to adduce cogent and convincing evidence that the dismissal was justified. The just cause relied upon must be grounded in proven misconduct, negligence, or poor performance, supported by credible facts.

ISSUE FOR DETERMINATION

[50] It was not disputed that the termination of the Claimant is based on poor performance. The law concerning dismissal on the grounds of poor performance is well settled. Poor performance, unlike misconduct, does not in itself constitute a

disciplinary offence. However, it is widely recognised that constant inefficiency or inability to perform the duties of one's employment can justify termination with just cause and excuse, provided procedural fairness is observed. In **Khor Eng Khye v. Guinness Anchor Marketing Sdn Bhd [2006] 2 LNS 1784**, the Court held that:

> "*Although the Industrial Court has held that poor performance is not misconduct per se, it is trite law that poor performance affords an acceptable basis for an employer to establish that the dismissal is with just cause or excuse under section 20 of the Industrial Relations Act 1967. The reason for this is that inefficiency or incompetence resulting in failure to perform the duties of the service destroys the whole reality of the contract from the point of view of the employer. The vast majority of employees make their employers the judges of their competence. Hence, so long as the employer acts bona fide, i.e., if he is genuinely discontented with an employee, he is quite entitled to dismiss the employee." (see also Samsudin Amin v. Austral Enterprises Bhd, Award 47 of 1974).*"

[51] The case of **Ireka Construction Berhad v. Chantiravathan a/l Subramaniam James [1995] 2 ILR 11** establishes a clear framework for assessing claims of dismissal for poor performance. It was held that, to justify such a dismissal, the employer must establish on a balance of probabilities that:

(a) the employee was warned about the deficiencies in performance;

(b) the employee was given sufficient opportunity to improve; and

(c) despite such warnings and opportunities, the employee failed to demonstrate sufficient improvement.

[52] In **Rooftech Sdn. Bhd. v. Holiday Inn, Penang, Award No. 166/86,** the Industrial Court emphasised that inefficiency or poor performance must be supported by proper procedural safeguards, including written communications evidencing the employee's shortcomings. Similarly, in **Sitt Tatt Bhd v. Ong Chee Meng [2004] 2 ILR 388**, it was held that the employer is the proper party to determine the standards and

criteria for assessing employee performance, provided such assessment is conducted in good faith, objectively, and without mala fide intent. The court held as follows

> " …
> *In my view, the company was fully entitled to terminate the claimant's service if, upon evaluation, the claimant was found to have been unable to perform his job functions satisfactorily. How he is to be assessed and the yardstick to gauge his performance is best left to the company's prerogative and judgment, so long as it is not tainted by mala fide intentions. It could well be based on performance per se or upon a combination of other variables and values such as suitability, aptitude, conduct, behaviour, mannerism and so forth*."

[53] Based on the above authorities, the Court will determine the following issues:

(a) whether the Claimant's alleged poor performance is established, assessed in light of:

(i) the Claimant's prescribed scope of work, responsibilities, and her awareness of her duties;
(ii) whether she was adequately warned of the specific performance deficiencies;
(iii) whether she was afforded a fair and reasonable opportunity to improve, and if so, whether her performance nevertheless remained unsatisfactory; and

(b) whether the Company acted bona fide and in accordance with fair and reasonable procedures, including in its use and implementation of the Performance Improvement Plan (PIP).

(a) Whether the Claimant's alleged poor performance is established,

[54] The first issue for determination is whether the Company has, on the balance of probabilities, established that the Claimant was a poor performer. In considering this issue, the Court takes into account the Claimant's job scope, her awareness of

responsibilities, the alleged deficiencies in her work performance and the warnings issued by the Company, the opportunities afforded for the Claimant to improve, and her actual performance outcomes during the relevant period

(i) the Claimant's prescribed scope of work, responsibilities, and her awareness of her duties;

[55] The Claimant held the position of Executive, CEO – Corporate Document Control, a role that carried clear, defined responsibilities, including the timely updating of manuals, strict adherence to submission deadlines, maintaining accuracy in the Company's document control systems, and ensuring the quality of circulated documents. These responsibilities are neither ambiguous nor peripheral since they reflect the core of the operational integrity of the CEO's office

[56] Under cross-examination, the Claimant conceded that she had applied for the post, attended an interview, and was fully apprised of the job description before accepting the position. This admission is highly material. It establishes that the Claimant was fully aware of the standards expected of her and that those standards formed the objective benchmark against which her performance must be measured. Any assertion of misunderstanding or misalignment of job expectations is therefore untenable.

(ii) Warnings Regarding Poor Performance

[57] The evidence presented establishes a clear and consistent chronology of escalating concerns communicated to the Claimant throughout 2018. Beginning in May 2018, the Company, through COW-1, issued a series of written communications expressly identifying deficiencies in the Claimant's performance. Emails dated 4 May, 16, 19 and 21 September 2018, among others, documented repeated instances of frequent and unexplained absences, incomplete or substandard work, delays in critical manual updates, missed deadlines, and instances of unprofessional conduct. These warnings were neither isolated nor vague as they were specific, contemporaneous, and directed at core aspects of the Claimant's responsibilities.

[58] In particular, the 4 May 2018 email meticulously detailed out the Claimant's deficiencies for discussion on 7 May 2018, including:

(a) regular emergency leave and medical leave taken without proper notification to her immediate supervisor;

(b) repeated requests for time off;

(c) failure to complete assignments such as posters and manual updates within the stipulated timelines;

(d) substandard minutes of meetings coupled with late circulation; and

(e) additional concerns categorised as "Any Other Business."

[59] The Claimant's response on 7 May 2018 is highly material. In that email, she unambiguously acknowledged the legitimacy of the concerns raised and expressly apologised for her "unacceptable behaviour" and "poor performance," giving her "word to improve." The relevant contemporaneous admissions are reproduced as follows:

(a) "Please accept my apology of unacceptable behaviour for the past few months"
[COB-1, pages 18 – 21 @ 18]

Leave

(b) "I deeply apologise as this is unacceptable reason"
[COB-1, pages 18 – 21 @ 19]

Leave

(c) "after I took my medication I fell asleep the whole day and I admit that I failed to inform En. Zamry immediately"
[COB-1, pages 18 – 21 @ 20]

Manual update

(d) "As I spoke to Enck Zamry, I realized that I still need to update some info in order to prepare for upcoming audit

Substandard minutes of meeting

(e) “I’m admitting that I’m having difficulty to update a Minutes of Meeting…After our early discussion with En Zamry and Kak Hashimah, I’m giving you my words to improve my poor performance.”
[COB-1, pages 18 – 21 @ 21]

These admissions were voluntarily made, contemporaneous with the events complained of, and directly in response to the specific deficiencies identified by the Company.

[60] The Claimant in this case did not deny having received any of the emails issued to her throughout the relevant period. In fact, no challenge was presented as to their authenticity, receipt, or contents. This omission is significant. Where contemporaneous documentary evidence stands unchallenged, it allows the Court to give it full evidential weight. The Claimant’s failure to rebut, explain, or even dispute the numerous written communications detailing her performance shortcomings further strengthens the Court’s finding that repeated warnings were indeed issued and brought to her attention at the relevant time.

[61] The legal requirement, as articulated in **Ireka Construction** (supra), is that an employee must be made aware of performance shortcomings before dismissal can be justified. Applying the principle and having considered the totality of the evidence, including the unchallenged documentary record and the Claimant’s own admissions, the Court finds that the Company has established, on a balance of probabilities, clear and adequate warnings regarding the Claimant’s poor performance were communicated. The requirement set out under Ireka Construction is therefore satisfied.

(iii) Opportunity to Improve and whether her performance remains unsatisfactory

[62] The requirement to provide a reasonable opportunity to improve is not a mere technicality but a substantive pillar of fair employment practice and this opportunity need not be indefinite or perfect, but it must be genuine, sufficient, and commensurate with the circumstances.

[63] From the evidence, the Company's intervention in addressing the Claimant's performance deficiencies starts at an early stage and continues doing so over an extended period. The first intervention occurred 4 May 2018, when COW-1 issued an email requiring the Claimant to attend a Performance Issue Discussion on 7 May 2018 and expressly warning that immediate improvement was required. At this stage, no PIP had yet been triggered, as the Company was still attempting to deal with her shortcomings informally and afforded her an opportunity to correct her conduct. This communication marks the beginning of a sustained period during which the Company repeatedly put the Claimant on notice regarding her shortcomings and pressed for improvement.

[64] The opportunity afforded was not confined to a single meeting. The evidence shows that discussions continued throughout the following months. On 14 September 2018, COW-1 raised ongoing concerns about the Claimant's discipline and performance. This was not a new matter, it reflects the continuation of the same issues flagged in May, indicating that the Company had, over several months, maintained active engagement with the Claimant regarding her deficiencies and had consistently provided verbal reminders and guidance.

[65] On 16 September 2018, COW-1 conveyed a complaint from the Corporate Occupational Safety and Health (COSH) Unit that the Claimant had taken home the CSO store keys while on leave, causing operational disruption. This incident demonstrated that performance concerns had expanded beyond the quality and timeliness of work to include conduct, accountability, and discipline. COW-1 raised the matter promptly, illustrating the Company's continued commitment to guiding and correcting the Claimant's behaviour.

[66] Similarly, on 21 September 2018, COW-1 forwarded to the Claimant a complaint from Puan Hashimah Hashim regarding the Claimant's rude and inappropriate response to a work-related inquiry. This further illustrates that concerns about her conduct and that the Company promptly raised each issue with her as it arose, providing her with repeated opportunities to take corrective steps.

[67] After several months of growing concerns, the Company formalised its approach by instituting a formal PIP. On 2 October 2018, a meeting took place between the Claimant, COW-1, and the Human Capital Business Partner, Pn. Adlina during which the Claimant was informed that she would undergo a three-month Performance Improvement Plan (PIP). The PIP was comprehensive and targeted deficiencies in three key areas:

(a) work performance;
(b) behaviour and discipline; and
(c) computer application skills.

The Claimant acknowledged the PIP requirements in her email of 3 October 2018, demonstrating full awareness and acceptance of the expectations placed upon her.

[68] The PIP was structured, time-bound, and supported by scheduled Progress Check Point meetings. The purpose was not punitive but corrective providing the Claimant with a structured opportunity to improve with guidance and supervision.

The Claimant's performance.

[69] The Claimant's contention that there is no evidence of poor performance during the PIP is untenable. The contemporaneous record, coupled with her own admissions, demonstrates repeated failures to comply with the PIP framework and instructions issued by COW-1. Upon evaluating the evidence in its entirety, the Court identifies the following material non-compliances:

(a) Failure to submit the performance progress and achievement report

While the PIP itself did not expressly mandate progress updates, the Claimant was specifically instructed by COW-1 who is her immediate superior to submit her performance progress and achievement report prior to his leave. Despite this explicit instruction, the Claimant failed to submit the report by the stipulated date.

Her failure to comply undermined the structured process of the PIP and deprived the Company of the ability to properly evaluate her performance. The absence of this report reflects a persistent lack of engagement with the corrective measures provided and constitutes a material failure to adhere to reasonable instructions within the performance management process.

(b) Failure to Communicate with his immediate superior (COW-1)

Despite explicit instructions issued on 17 October 2018 to notify COW-1 by email of any medical leave or related matters, the Claimant failed to comply. Instead, she chose to communicate via WhatsApp, in direct contravention of the instruction. This conduct reflects a conscious disregard for established procedures and a clear lapse in professional responsibility.

An employee genuinely committed to demonstrating improvement under a PIP would be expected to adhere strictly to reporting requirements and maintain proper communication with her supervisor. The Claimant did the opposite. Her decision to ignore the designated channel, despite being expressly directed otherwise, underscores a persistent failure to engage with the supervisory process central to the PIP.

This pattern of non-communication came to an immediate superior at the most critical stage of the PIP. As mentioned before, the Claimant was expressly required to submit her progress report before COW-1 commenced leave. She failed to do so and maintained complete silence until 3 January 2019. Her attempt to justify this lapse by asserting she had been unwell from 21 December 2018 and had sought treatment on 24 December 2018 does not assist her. The medical consultation on 24 December 2018 resulted in no medical certificate being issued and therefore did not relieve her of the obligation to communicate her status to her superior.

Furthermore, the Claimant's hospital admission was only supported from 26 December 2018 onwards. This leaves the period between 19 and 24 December 2018 entirely unaccounted for. During this crucial phase of the PIP, when she was expected to complete her outstanding tasks and submit her progress report, there was no communication, no explanation, and no attempt to fulfil or clarify her obligations.

At no point prior to that date did she offer any explanation or seek clarification, despite her knowledge of the reporting obligations.

The Court finds that this silence cannot be attributed to illness, as the Claimant was neither certified unfit for work nor hospitalised during the bulk of this period. Her failure to communicate, despite knowing the requirement to notify COW-1 by email, therefore reflects not incapacity but a continued pattern of disengagement. It undermines her assertion that she was compliant with or committed to the PIP process and instead supports the Company's position that she was unwilling to participate meaningfully in the improvement measures offered to her.

(c) Bypassing the Immediate Supervisor

The Claimant's decision to bypass COW-1 and communicate directly with higher management regarding critical deliverables contravened the reporting protocol outlined in the PIP. By circumventing her immediate supervisor, the Claimant deprived COW-1 of the opportunity to monitor, guide, and support her progress. Such behaviour undermines the fundamental purpose of a PIP, which depends on consistent engagement between the employee and the designated superior to facilitate improvement.

The Claimant's email of 3 January 2019 served as a de facto admission of her failures. The Claimant's email of 3 January 2019 to COW-1 constitutes a de facto admission of these failures, confirming that she

did not adhere to the prescribed communication and reporting obligations.

(d) Failure to Respond to Performance-Related Emails During the PIP Period

The Claimant's pattern of disengagement is evidenced by her failure to respond to her work performance during the PIP itself. The Company adduced an email from 13 October 2018, in which COW-1 explicitly highlighted several deficiencies requiring immediate justification, including:

(i) findings from the IOSA Dry Run concerning the Master Manual List;

(ii) the failure to maintain the CSO Info TV; and

(iii) non-conformances in the SMS training tracking sheet.

Despite these clear instructions, based on the document, the Claimant did not respond. A follow-up reminder was sent on 22 October 2018, yet she still failed to reply. This complete lack of response shows a serious disregard for the standards of diligence, accountability, and engagement expected in her role. It also undermines the very purpose of the PIP, which relies on active participation and communication between the employee and supervisor to address performance gaps.

This was not a minor lapse but a significant breach of her responsibilities. Any employee genuinely committed to improving under a PIP would, at a minimum, acknowledge and respond to direct queries from their supervisor. The Claimant’s failure to do so demonstrates that she did not take the process seriously. The Court finds that this behaviour forms part of a clear pattern of non-engagement, which justified the Company’s conclusion that the PIP had failed

(e) Failure to complete Corporate Safety Management Manual (CSMM), Corporate Document Manual (CDM) and Document Control Policy Manual (DCPM)

The evidence clearly establishes that the Claimant failed to comply with the timelines set by COW-1 for completing the CSMM, CDM and DCPM manuals. She was expressly instructed in early September to finalise the CSMM by 14 September 2019, and the CDM and DCPM by 18 September 2019. The Claimant did not meet any of these deadlines.

As of 30 September 2019, COW-1 was still seeking an update on the status of these documents and informed her that he intended to review the manuals by 4 October 2019. Although the Claimant was on medical leave on 4 and 5 October 2019, there is no contemporaneous documentation showing that the manuals were completed or submitted for COW-1's review within the stipulated period. Her subsequent email dated 3 January 2019, stating that she had updated "part" of the CSMM together with amendments to the CDM and DCPM on 21 December, further confirms that the work was neither completed within the assigned timeline nor delivered in full.

On the totality of the evidence, the Court finds that the Claimant failed to adhere to clear and reasonable deadlines set by her supervisor, and her delayed and partial submissions demonstrate non-compliance with the work requirements communicated to her.

[70] Having considered the evidence, The Court finds that the Company afforded the Claimant a more than reasonable opportunity to improve, beginning with informal warnings in May 2018 and culminating in a formal, three-month PIP. This graduated process was genuine, sufficient, and commensurate with the circumstances.

[71] Despite this extensive opportunity, the Claimant's performance remained unsatisfactory. Her persistent failures to comply with instructions, adhere to communication protocols, and engage meaningfully with the structured support of the

PIP demonstrate a lack of commitment to the improvement process. Therefore, the Company has successfully established both that a fair opportunity was given and that the Claimant's performance failed to meet the required standards thereafter.

(b) Whether the Company acted bona fide and in accordance with fair and reasonable procedures, including in its use and implementation of the Performance Improvement Plan (PIP).

[72] The Court now turns to determine whether the employer demonstrates that it acted in bona fide and adhered to fair and reasonable procedures throughout the performance management process. This requirement ensures that employees are given a genuine opportunity to meet expected standards while allowing the employer to maintain operational efficiency and discipline.

[73] In this case, the Court's attention is directed to how the Company implemented and managed the PIP, which was the culmination of its ongoing efforts to address the Claimant's repeated performance issues. The key questions are whether the Company acted in good faith, whether the procedures it followed were fair and reasonable, and whether the entire process was conducted without any hint of malice, discrimination, or intimidation. The Court must determine whether the PIP was genuinely intended to help the Claimant improve, rather than to penalize or unfairly target her.

[74] Upon careful evaluation of the evidence, the Court is satisfied that the introduction and execution of the PIP clearly demonstrate the Company's bona fide intention to support the Claimant's improvement. **In Sharifah Nurzehan Syed Hazani v. Petrofac (Malaysia-PM304) Ltd [2019] CLJU 1631**, the Court affirmed that the use of a structured PIP with measurable indicators reflects a genuine effort by an employer to give the employee every reasonable opportunity to succeed. Here, the Company implemented a three-month PIP with clearly defined objectives, measurable targets, and scheduled review sessions. The structure was corrective, not punitive, and closely aligned with the principles articulated in **Sharifah Nurzehan Syed Hazani** (supra).

[75] A further element of procedural fairness is the employee's understanding of management's dissatisfaction and the consequences of continued underperformance. The evidence before the Court is undisputed. The Claimant was repeatedly informed of the deficiencies in her work and the need for improvement. At all material times, she knew or ought reasonably to have known that her continued poor performance placed her employment at risk. This is not a case where an employee was uninformed or taken by surprise.

[76] The principle established in **KC Mathews v. Kumpulan Guthrie Sdn Bhd [1981] CLJ Rep 62** is directly applicable to the present circumstances. The Federal Court held that no formal inquiry was necessary where the employee "knew at all times how dissatisfied his employer was with him and he must have known... that he was running the risk of dismissal. All he had to do was to produce the work required of him. He never did."

[77] Similarly, in the present case, the Claimant's acceptance of the PIP terms was an acknowledgment that she needed to demonstrate meaningful improvement. Yet, the evidence shows that she repeatedly failed to comply with key requirements, including submission of progress reports, adherence to communication protocols, and engagement with supervisory guidance. The Court finds that her inaction reflects a deliberate failure to engage with the remedial process offered.

[78] The Court has also examined the Claimant's allegations that she was subjected to discrimination and intimidation by COW-1. These allegations were premised on her PIP placement, her medical leave pattern, and a prior complaint she lodged against COW-1 concerning the events of 19 September 2018. Having scrutinised the evidence, the Court finds that these assertions are unsupported and, on the balance of probabilities, appear to reflect the Claimant's subjective reaction to legitimate supervisory oversight rather than any improper conduct.

[79] The chronology of events is instructive. The Claimant lodged her complaint against COW-1 immediately after the performance meeting on 19 September 2018 [COB-1, pp. 24–25; 57–58], during which concerns regarding her performance were discussed and she was informed of her impending placement under the PIP. The

temporal proximity strongly suggests that the complaint was not prompted by misconduct on the part of COW-1 but was, on balance of probabilities, a reaction to being confronted with her own performance shortcomings.

[80] The Company, for its part, followed established procedures by referring the matter to the Business Integrity Department for investigation. The investigation, conducted independently, concluded that the complaint lacked merit and that the issues raised stemmed from the Claimant's own performance deficiencies rather than any misconduct by COW-1. The Company's adherence to a formal grievance process reinforces the Court's finding that the Claimant was not subjected to a prejudicial or retaliatory environment.

[81] The Claimant's attempt to link her medical leave with alleged intimidation is similarly unpersuasive. The management of her leave was an administrative matter separate from performance oversight. There is no evidence to suggest that COW-1 acted in a retaliatory manner due to her absences. The record demonstrates that the Company's concerns consistently focused on the quality, timeliness, and outcomes of her work during periods of attendance. Indeed, COW-1's contemporaneous communications reflect a constructive approach, advising that the Claimant seek medical consultation or specialist care if required, further emphasizing that his concern was her wellbeing and performance rather than intimidation.

[82] In view of the evidence, the Court finds that the Company's actions were consistently procedural, objective, and aligned with a genuine intention to support the Claimant's improvement. Both the PIP and the handling of her complaint were conducted in accordance with established procedures and demonstrate good faith managerial practice. The allegation of intimidation is therefore rejected.

[83] This finding is consistent with the Industrial Court's reasoning in **Thurka Thevi Mohan v. Ace Greencemt Venture (M) Sdn Bhd [2025] 2 ILR 23** where the court affirms that an employer is entitled to manage an employee's performance without this being construed as intimidation, provided the process is bona fide and procedural. In **Thurka Thevi Mohan** the court held that:

" *It is trite law that how an employee is assessed and the yardstick to be used to gauge his/her performance is best left to the company's prerogative and judgment so long as it is not tainted by mala fide intentions…*"

[84] For the reasons comprehensively outlined above, the Court finds that the Company's conduct throughout the performance management process, culminating in the dismissal, constituted a genuine and bona fide exercise of its managerial prerogative. The procedures adopted were fair, reasonable, and proportionate in the circumstances. The Company acted within its rights in seeking to address the Claimant's persistent underperformance, and the Court is satisfied that the dismissal was neither arbitrary nor motivated by malice, intimidation, or discrimination.

CONCLUSION

[85] Having carefully considered all the evidence, submissions of the parties, and the applicable legal principles, the Court makes the following findings:

(a) the Company has successfully established, on a balance of probabilities, that the Claimant's poor performance was genuine, persistent, and incompatible with the standards reasonably expected of her role. The evidence demonstrates that the Claimant was well aware of her prescribed duties, scope of work, and reporting obligations. The record further demonstrates that she was repeatedly cautioned, both informally and formally, regarding specific deficiencies in her output, timeliness, organisation, and adherence to instructions. Not only was she expressly informed of these shortcomings, but she was also afforded a fair, structured, and reasonable opportunity to improve. The Company provided clear guidance and performance expectations and subsequently placed her under a structured PIP designed to address identified deficiencies. Despite these opportunities, the Claimant's performance remained unsatisfactory. She failed to meet key deliverables, failed to adhere to reporting requirements, and showed no sustained improvement. Her explanations were inconsistent and did not displace the clear documentary evidence of ongoing deficiencies. On

this basis, the Court finds that the substantive element of poor performance has been fully proven; and

(b) the Company acted throughout in good faith and in full accordance with fair and reasonable procedures. The performance management process adopted was neither rushed nor arbitrary. The evidence shows that the Company undertook progressive steps before implementing a structured PIP. The PIP itself was clear, measurable, time-bound, and designed to assist the Claimant in meeting expected standards. The Claimant was informed of the areas requiring improvement, the consequences of failing to improve, and the support mechanisms available to her. Allegations of discrimination, intimidation, or mala fide conduct were not substantiated by any credible evidence. On the contrary, the documentary record shows a consistent, objective, and transparent approach by the Company, including the independent investigation of the Claimant's complaint, which was found to be unrelated to any improper conduct by her supervisor.

[86] For all these reasons, the Court concludes that both the substantive and procedural requirements for a dismissal based on poor performance have been fully satisfied. The Company's decision was a bona fide exercise of managerial prerogative following months of documented concerns, reasonable opportunities for improvement, and the Claimant's continued failure to meet essential performance expectations. The dismissal is therefore upheld as having been carried out with just cause or excuse. The Claimant's claim is hereby dismissed.

HANDED DOWN AND DATED THIS 26TH DAY OF NOVEMBER 2025

-signed-

(NORAMILIA MOHD SAAD)
CHAIRMAN
INDUSTRIAL COURT OF MALAYSIA
AT KUALA LUMPUR